AlphaZet Services

Demo Naturals Private Limited

Valuation report: equity value as at 31 March 2026

Fictional company: a natural personal-care brand sold online, based in Ahmedabad.

Purpose of valuation: illustrative example for a funding discussion.

Valuation date: 31 March 2026

Methods: discounted cash flow (70%) and comparable revenue multiple (30%).

All amounts in Rs lakh unless stated.

This document is a sample created to show the layout and depth of our work. The company, people and every number in it are invented. It is not based on any client and must not be used for any decision.

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1. Purpose, scope and basis

This report estimates the equity value of Demo Naturals Private Limited, a fictional company, as at 31 March 2026. It shows how we structure a valuation: purpose first, then the information used, the methods, the assumptions and a clear conclusion with its limits.

Information relied on. Three years of financial statements (two audited, one management accounts), a five-year management plan, and the shareholding table. We have not audited these figures. In a real engagement we also hold a management call to test every assumption against history and the market.

Standard of value. Fair value of equity on a going-concern basis. Not covered. Tax, legal or regulatory advice. Where a valuation is needed for a regulatory purpose, a registered valuer's report may be required.

2. Business overview

Demo Naturals sells herbal skin and hair care products through its own website and two marketplaces. It was set up in 2021 and has 14 employees. It outsources manufacturing to two contract units and holds inventory of about 45 days.

Rs lakh	FY24 (A)	FY25 (A)	FY26 (M)
Revenue	180.0	310.0	490.0
Gross margin	46%	49%	52%
EBITDA	(6.5)	14.9	39.2
EBITDA margin	(3.6%)	4.8%	8.0%

A = audited, M = management accounts. All figures invented.

Revenue growth of 72% and 58% in the last two years came from repeat buyers and marketplace listings. Gross margin improved as the brand moved to bulk purchasing. The business is still small, so the valuation depends mainly on whether this growth continues, which is why the assumptions in the next section matter most.

3. Key assumptions

Assumption	Value	Basis (illustrative)
Revenue growth FY27 to FY31	55%, 45%, 35%, 28%, 22%	Fading from the last two years' growth as the base gets larger
EBITDA margin	8% rising to 18%	Scale benefits in purchasing and marketing; peer range not shown here
Tax rate	25.17%	Corporate tax rate assumed; to be confirmed for the entity
Depreciation / capex	2% / 3% of revenue	Asset-light model; capex slightly above depreciation
Working capital	12% of incremental revenue	About 45 days of inventory net of creditors
Discount rate (WACC)	17.0%	Illustrative build-up reflecting early-stage risk
Terminal growth	5.0%	Long-term nominal growth, below the discount rate
Net debt at valuation date	Rs 40.0 lakh	Term loan and overdraft less cash

In a live engagement the discount rate is built step by step and shown with its sources. Here it is given as an input so the working stays easy to follow.

4. Projected free cash flow

Rs lakh	FY27	FY28	FY29	FY30	FY31
Revenue	759.5	1,101.3	1,486.7	1,903.0	2,321.7
EBITDA	60.8	132.2	223.0	323.5	417.9
Less depreciation	15.2	22.0	29.7	38.1	46.4
EBIT	45.6	110.1	193.3	285.5	371.5
NOPAT (after tax)	34.1	82.4	144.6	213.6	278.0
Add depreciation	15.2	22.0	29.7	38.1	46.4
Less capex	22.8	33.0	44.6	57.1	69.6
Less increase in working capital	32.3	41.0	46.3	50.0	50.2
Free cash flow	**-5.8**	**30.4**	**83.5**	**144.6**	**204.5**

Free cash flow is the cash left after operating costs, tax and the investment needed to keep growing. Year-one cash flow is negative because working capital and capex absorb more than the NOPAT earned while growth is high.

5. Discounted cash flow working

Rs lakh	FY27	FY28	FY29	FY30	FY31
Free cash flow	-5.8	30.4	83.5	144.6	204.5
Discount factor at 17%	0.8547	0.7305	0.6244	0.5337	0.4561
Present value	-5.0	22.2	52.1	77.2	93.3

Step	Rs lakh
Sum of present values (FY27 to FY31)	239.8
Terminal value = FCF FY31 x (1+5%) / (17%-5%)	1,789.5
Present value of terminal value	816.2
Enterprise value	1,056.0
Less net debt	(40.0)
Equity value (DCF method)	**1,016.0**

The terminal value is 77% of enterprise value, which is typical for a growing company and the reason we also test the result with a second method and a sensitivity table.

6. Comparable method

The comparable method applies a revenue multiple to FY26 revenue. In a live engagement the multiple comes from a documented set of listed or transacted peers. Here the multiples are invented assumptions, not market data.

Revenue multiple (assumed)	**Low 1.5x**	**Mid 2.0x**	**High 2.5x**
Enterprise value (Rs lakh)	735.0	980.0	1,225.0
Less net debt	(40.0)	(40.0)	(40.0)
Equity value (Rs lakh)	**695.0**	**940.0**	**1,185.0**

Reconciling the methods. We give 70% weight to DCF because the business has a credible five-year plan, and 30% to the comparable method as a market cross-check.

Method	**Equity value**	**Weight**	**Weighted**
DCF	1,016.0	70%	711.2
Comparable (mid multiple)	940.0	30%	282.0
Indicative equity value		**100%**	**993.2**

7. Sensitivity and conclusion

Equity value (DCF method, Rs lakh) as the discount rate and terminal growth change:

WACC \ terminal growth	4.0%	5.0%	6.0%
15%	1,178.5	1,284.8	1,414.7
17%	946.0	1,016.0	1,098.7
19%	778.1	826.7	882.7

Conclusion. On the stated assumptions the indicative equity value of Demo Naturals Private Limited as at 31 March 2026 is about Rs 993 lakh, within a DCF range of Rs 778 to Rs 1,415 lakh across the sensitivity grid.

Limitations. The figures are invented and the conclusion applies to this fictional company only. A real report also covers the build-up of the discount rate, a review of the projections against history, a discount for lack of marketability where relevant, a list of documents relied on, and the signature of the person responsible.

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